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Greece: ATE Bank Capital Injection, 2011¹

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Abstract

In 2009, ATE Bank, the fifth-largest Greek bank, received a capital injection of EUR 675 million in Tier 1 preference shares as part of a broader aid package for the bank. In August 2010, Greek authorities conducted a strategic review of Greek banks, which concluded that ATE Bank was still facing serious difficulties. In October 2010, ATE Bank submitted a restructuring plan that included the purchase of EUR 1.14 billion in new ordinary shares. Of this EUR 1.14 billion, the bank used EUR 675 million to repurchase the earlier EUR 675 million preference shares. Private investors purchased an additional EUR 115 million in new shares, bringing the total raised to EUR 1.26 billion. This share capital increase took place in June 2011 and resulted in the government's stake increasing from 77% to 90%. However, the capital situation of ATE Bank deteriorated in the second half of 2011 when the Greek government marked down the value of its sovereign debt. In December 2011, the Greek government invested an additional EUR 290 million in new shares, bringing its stake up to 93%. In July 2012, Piraeus Bank, a larger Greek bank, purchased ATE Bank's viable activities, while leaving other assets and liabilities in a bad bank. Existing ATE Bank shareholders, including the Greek state's EUR 1.4 billion investment, and subordinated debt investors were wiped out in the transaction. The state ultimately lost more than EUR 6 billion in the recapitalization and later restructuring of ATE Bank.

Keywords: ATE Bank, bail-in, capital injection, Piraeus Bank

¹ This case study is part of a Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering ad hoc capital injections. A survey of all the cases in this series (Rhee, Hoffner et al. 2024) and the individual cases underlying it are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/vol6/iss3/>. Rhee, Oguri et al. (2022) surveys broad-based capital injection programs.

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Overview

This case study is about capital injections of EUR 1.14 billion and EUR 290 million made into the Agricultural Bank of Greece (ATE Bank) in 2011. For information on the resolution and restructuring of ATE Bank, see Schaefer-Brown (2024).

In November 2008, the European Commission (EC) approved a package of aid for Greek banks. As part of this package, in 2009, ATE Bank received a capital injection of EUR 675 million in Tier 1 preference shares. In August 2010, Greek authorities conducted a strategic viability review of Greek banks under the purview of the first economic adjustment program. The review concluded that ATE Bank was facing serious difficulties. Subsequently, in October 2010, ATE Bank submitted a restructuring plan to the EC and later received a capital injection of EUR 1.14 billion (USD 1.65 billion),³ plus EUR 115 million from private investors (ATE Bank 2011c; EC 2011b; EC 2013). As a result of the transaction, the government’s stake in the bank rose from 77% to 90%. The capital situation of ATE Bank deteriorated in the second half of 2011 because of its exposure to the Greek sovereign debt restructuring; private investors in Greek government bonds ultimately took a 50% haircut in March 2012. In December 2011, the Greek government invested an additional EUR 290 million in new shares, bringing its stake up to 93%. After this, the Bank of Greece (BoG) conducted an assessment of the bank. This assessment was part of a larger viability assessment of the entire Greek banking sector, with the aim of determining which banks were viable and therefore eligible for potential state support. Banks deemed not viable were given the opportunity to raise the necessary capital privately. If a bank required capital that it was unable to raise, it would then be resolved or liquidated (World Bank Group 2016). The assessment took into consideration how likely each bank would be to repay funds if given them. In March 2012, the BoG submitted a report to the Greek authorities with options for the resolution of ATE Bank. This report

Key Terms

Purpose: To strengthen ATE Bank’s capital position	
Announcement Date	May 23, 2011
Operational Date	June 2011
Date of Final Capital Injection	December 2011
End Date	ATE Bank was resolved in 2012
Source of Funding	The Greek state
Administrator	The Greek state
Size	EUR 1.4 billion
Capital Characteristics	Ordinary voting shares
Bail-in Terms	Equity investors participated in rights issues but were diluted; the following year, all equity and subordinated debt investors were wiped out when Piraeus Bank purchased ATE Bank
Outcomes	ATE Bank was resolved in 2012, wiping out the government’s EUR 1.4 billion in earlier capital injections
Notable Features	The capital injection of EUR 1.14 billion was used to buy back EUR 675 million in preferred shares from a previous capital injection

³ Per Bloomberg, EUR 1.00 = USD 1.44 on June 1, 2011.

recommended the resolution of ATE Bank through a purchase and assumption of specific assets and liabilities (primarily deposits) by another bank, followed by the liquidation of the remaining nonviable assets and liabilities through a bad bank. The BoG report considered the full liquidation of ATE Bank as an alternative to the good bank–bad bank approach but found that it would have been more costly and more difficult to implement. The report made this recommendation based on the cost to the Greek state, execution risks, contagion risks, social risks, and funding risks. Ultimately, in July 2012, ATE Bank’s viable activities were purchased by Piraeus Bank, one of the four remaining systemic banks in Greece, which was the only complete bidder, and one of the four banks the BoG had determined were viable. ATE Bank’s nonviable activities remained with the bad bank, to be liquidated by a special liquidator (EC 2013; ESM n.d.).

In July 2012, Piraeus purchased ATE Bank’s viable activities in exchange for a EUR 95 million payment to fund the bad bank. Existing ATE Bank shareholders, including the Greek state through its EUR 1.4 billion investment, and subordinated debt investors were wiped out in the transaction. As part of the Piraeus purchase, the Hellenic Financial Stability Fund (HFSF) injected EUR 8 billion of assets into Piraeus in the form of European Financial Stability Fund (EFSF) bonds, including EUR 7.47 billion to cover the asset/liability gap of the transferred activities in March 2013 and EUR 570 million to adequately capitalize the transferred activities in April 2013 (EC 2013; HFSF 2013). ATE Bank’s depositors did not experience any losses.

In 2012, the HFSF estimated it could receive EUR 6.68 billion from the liquidation of ATE Bank. Accounting for impairments of EUR 4.7 billion, the HFSF could eventually recoup EUR 1.97 billion (HFSF 2013). As of 2021, the HFSF had received EUR 550 million from the liquidation of ATE Bank and estimated it could still receive an additional EUR 658 million. At this point, impairments for ATE Bank totaled EUR 6.26 billion (HFSF 2022).

The Greek sovereign debt crisis also affected Piraeus Bank; it noted in its bid for ATE Bank that the acquisition would improve its viability and market position in Greece. The EC’s approval of the resolution plan for ATE Bank stated that its approval was contingent on Piraeus Bank’s submitting a restructuring plan that proved it would be a viable bank after absorbing ATE Bank (EC 2013). The EC approved this plan in July 2014 (EC 2014). Figure 1 shows the timeline of events in the restructuring of ATE Bank.

Figure 1: Timeline for the Restructuring of ATE Bank

Date	Event
May 21, 2009	Greece provides a capital injection of EUR 675 million in preferred Tier 1 shares.
August 2010	Greek authorities conduct a strategic viability review of Greek banks under the purview of the first economic adjustment program and conclude that ATE Bank is facing serious difficulties.
October 2010	ATE Bank submits a restructuring plan to the EC.
June 2011	Greece provides a capital injection of EUR 1.14 billion in ordinary shares, which repurchases the EUR 675 million in preferred Tier 1 shares, plus EUR 115 million from private investors.

Late 2011	ATE Bank's capital situation deteriorates.
March 2012	Greece restructures its sovereign debt, and private investors in Greek bonds take a 50% haircut. Bank of Greece recommends ATE Bank be resolved through purchase and assumption and a bad bank after assessing ATE Bank as part of a larger sector-wide assessment.
May 2012	The BoG begins the auction process for ATE Bank's transferred activities by contacting two international investment banks and the four viable Greek systemic banks.
July 2012	Piraeus Bank bids for and purchases the viable activities of ATE Bank.
July 27, 2012	The initial transfer of ATE Bank's viable assets to Piraeus is made; existing shareholders, including the Greek government, and subordinated debt holders are wiped out; ATE Bank announces that its operating license has been revoked.

Sources: ATE Bank 2011c; ATE Bank 2012; EC 2011b; EC 2013; World Bank Group 2016.

Summary Evaluation

There aren't many reports or studies assessing the efficacy of the capital injection. However, the capital situation of ATE Bank quickly deteriorated further in the second half of 2011 because of the 50% haircut on its Greek bonds. After this, the Bank of Greece conducted an assessment of ATE Bank. In March 2012, the Bank of Greece submitted a report to the Greek authorities with options for the resolution of ATE Bank. Piraeus Bank ultimately purchased only the viable activities of the bank, wiping out existing shareholders, including the government, and EUR 250 million in subordinated debt (EC 2013; ESM n.d.).

Context: Greece, ATE Bank, 2009–2010	
Assets	EUR 32.8 million as of 2009 EUR 31.2 million as of 2010
Liabilities	EUR 31.5 million as of 2009 EUR 30.5 million as of 2010
Deposits	EUR 22.6 million as of 2009 EUR 19.7 billion as of 2010
Capital Ratio (Tier 1)	Unavailable
Nonperforming Loans	Unavailable
Market Share	Unavailable
Banking System, % of GDP	Unavailable
<i>Sources: ATE Bank 2011f; EC 2011.</i>	

Key Design Decisions

1. Purpose: To improve ATE Bank's capital position and repurchase Tier 1 preference shares from an earlier capital injection.

ATE Bank began experiencing difficulties because of poor asset quality before the Greek sovereign debt crisis. Then during the sovereign debt crisis, ATE Bank lost access to international debt markets, which, along with a widespread loss of confidence in Greek banks, severely affected ATE Bank's liquidity. In 2009, ATE Bank's asset quality continued to deteriorate (EC 2011b).

In November 2008, the EC approved a package of support measures for Greek banks. As part of this package, ATE Bank received a capital injection of EUR 675 million in Tier 1 preference shares on May 21, 2009 (EC 2011b). Part of this plan included a stipulation that the Tier 1 preference shares would be repurchased by the central bank within five years (EC 2008).

In October 2010, Greek authorities submitted a restructuring plan for ATE Bank to the EC, which the EC approved in May 2011. In this period, the Bank of Greece sent a letter to the EC indicating that the capital needs of ATE Bank were EUR 585 million, and therefore a capital increase of that amount was necessary. Greek authorities submitted a finalized restructuring and recapitalization plan to the EC on April 28, 2011. This included an ordinary share capital increase of EUR 1.26 billion, of which EUR 675 million would be used to repurchase the EUR 675 million of Tier 1 preference shares bought by the Greek state in May 2009. Of the total, private investors would provide EUR 115 million (ATE Bank 2011c; EC 2011a). After the repurchase of these preference shares, the net capital increase was EUR 585 million. This value reflects the capital needs of ATE Bank after the Bank of Greece raised ATE Bank's minimum capital adequacy ratio from 8.9% to 12.1%. On April 29, 2011, ATE Bank shareholders approved the capital increase (EC 2011b; EC 2013).

In December 2011, the bank made an additional rights offering to raise EUR 290 million from existing shareholders, to comply with regulatory requirements, following a shareholder vote on November 15. As virtually no private investors participated, the government invested the entire EUR 290 million, bringing its stake up to 93% (EC 2013).

2. Part of a Package: ATE Bank received additional aid in the form of access to emergency liquidity assistance from the central bank through participation in the Greek government's credit guarantee and bond loan schemes.

Additional aid ATE Bank received as part of the November 2008 package for Greek banks included participation in the Greek government's credit guarantee and participation in the Greek bond loan scheme (ATE Bank 2011e). These programs enabled the bank to borrow up to EUR 6.1 billion from the Bank of Greece, as of April 18, 2011, or about one-fifth of the ATE group's total liabilities (EC 2013).

The guarantee was granted on EUR 4.7 billion notes issued by ATE as of April 18, 2011. ATE Bank paid the state a remuneration of up to 80 basis points before June 2011 and 145 basis points afterward (on the nominal amount of the notes) (EC 2011b). ATE Bank retained these notes and could use them as collateral to borrow from the central bank (EC 2011b). For more information on Greek ELA, see Runkel (2022); for details of the Greek Credit Guarantee Scheme, see Thompson (2020).

By April 18, 2011, ATE Bank had also acquired EUR 1.4 billion in zero coupon notes issued by the state under the bond loan scheme, which could also be used as collateral to borrow from the central bank. ATE Bank received EUR 807 million in 2009, which matured in December 2011, and EUR 600 million in June 2010, which matured in 2013 (EC 2013). ATE bank paid 80 basis points of remuneration on the nominal amount of the notes every year (EC 2011b).

ATE Bank's capital position deteriorated further after the EC's approval of the bank's restructuring plan. Between November 2011 and May 2013, ATE bank received three additional capital injections in different forms and amounts (EC 2013). Figure 2 shows all of the capital injections ATE Bank received.

Figure 2: Capital Injections into ATE Bank

Date	Amount	Characteristics
May 21, 2009	EUR 675 million	Tier 1 preference shares
June 2011	EUR 1.14 billion (EUR 469 million net)	Capital injection of ordinary shares, of which EUR 675 million was used to repurchase the preferred shares from the first capital injection; the Greek state's stake rose from 77% to 90%.
December 29, 2011	EUR 290 million	Greek state injects EUR 290 million to purchase ordinary shares in ATE Bank, bringing its stake to 93%.
March 26, 2013	EUR 7.47 billion	HFSF injection of EFSF bonds into Piraeus Bank to make up for the asset/liability gap in the transferred activities.
April 10, 2013	EUR 570 million	HFSF recapitalization of Piraeus Bank with EFSF bonds so the transferred activities were adequately capitalized up to 9%.

Sources: EC 2011b; EC 2013; HFSF 2013.

3. Legal Authority: The capital injection was first approved by the government, which then held a majority stake in ATE Bank shares, and then by the EC.

From October 2010 to May 2011, the EC and Greek authorities communicated about a restructuring and recapitalization plan for ATE Bank. On April 28, 2011, Greek authorities notified the EC of ATE Bank's need for a capital increase of EUR 585 million. ATE Bank also needed to repurchase EUR 675 million in Tier 1 preference shares from an earlier capital

injection per the Greek authority's agreement with the EC and Greek Law 3723, which Greek authorities had passed as part of the 2008 aid package for Greek Banks. Therefore, the capital increase Greek authorities proposed to the EC on April 28, 2010, was EUR 1.26 billion in ordinary shares (EUR 675 million + EUR 584.5 million) (BoG 2014, 52; EC 2008; EC 2011b).

On April 29, 2011, ATE Bank's shareholders approved a capital increase of EUR 1.26 billion, of which the Greek state would contribute EUR 1.14 billion and private investors would contribute EUR 115 million. On May 23, 2011, the EC approved the same capital increase (EC 2011b; EC 2013)..

The same Greek Law 3723 authorized the government's credit guarantee and bond loan scheme (Hellenic Republic n.d.).

4. Administration: The Greek government communicated and coordinated the capital injection between the EC and ATE Bank.

In October 2010, Greek authorities submitted a restructuring plan for ATE Bank to the EC for approval. This plan was updated through further communication between the EC and Greek authorities. One update was a capital injection of EUR 1.14 billion from the Greek state into ATE Bank. Greek authorities notified the EC of this capital injection on April 28, 2011; the EC approved the injection and restructuring plan on May 23, 2011. The shareholders of ATE Bank had approved this capital injection on April 29, 2011 (EC 2011b; EC 2013).

5. Governance: The EC required that a monitoring trustee report on the commitments made by ATE Bank in the restructuring and recapitalization plan.

The EC outlined requirements for a monitoring trustee in its approval of the restructuring and recapitalization plan. ATE Bank was to submit one or more nominees for the trustee position to the Director-General for Competition at the EC (DG Comp) who could reject the nominees. If the initial nominees were rejected, ATE Bank would put forward at least two more nominees, and if these were also rejected by DG Comp, DG Comp would nominate a trustee who ATE Bank was required to appoint. The responsibilities of the monitoring trustee included proposing a work plan to the EC regarding compliance monitoring, monitoring all commitments ATE Bank made to the EC in connection with the restructuring and recapitalization plan, proposing measures to ATE Bank it deemed necessary to ensure compliance, and providing the EC with a nonconfidential written report at the end of each semester and business year (EC 2011b).

6. Communication and Disclosure: On the same day, the EC and ATE Bank put out press releases updating the public about the capital-raising process and the Greek state's participation.

The EC put out a press release on May 23, 2011, discussing its approval of ATE Bank's restructuring and resolution. The EC's vice president in charge of competition policy said that "ATE's restructuring plan contains adequate measures to tackle the bank's weaknesses and minimize distortions of competition" (EC 2011a).

Also on May 23, 2011, ATE Bank announced that the EC had approved its restructuring plan and share capital increase. This announcement stated the restructuring and share capital increase would “strengthen [ATE Bank’s] capital adequacy and improve its long-term efficiency” (ATE Bank 2011a).

ATE Bank also made announcements at the beginning and end of the share capital increase and when it repurchased the Greek state’s EUR 675 million in preference shares (ATE Bank 2011b; ATE Bank 2011c; ATE Bank 2011d).

7. Treatment of Creditors and Equity Holders: The share capital increases in June and December 2011 gave existing shareholders a right to purchase 13 new common shares for every 1 old common share; as they didn’t fully take up the rights issue, their stake was diluted.

The share capital increase gave the existing shareholders a right to purchase with a ratio of 13 new common registered voting shares to 1 old common registered voting share. This involved the issuance of 1.2 billion new common registered shares, with voting rights at the nominal value of EUR 0.6 each and an issue price of EUR 1.1 for each new share. This resulted in ATE Bank’s total share capital being EUR 1.4 billion: 1.3 billion common registered voting shares with a nominal value of EUR 0.6 each and 937.5 million redeemable nonvoting shares owned by the Greek state with a nominal value of EUR 0.7 each (ATE Bank 2011b; ATE Bank 2011c). As of November 2011, the Greek government had a 89.9% stake in ATE Bank (EC 2014).

In July 2012, all ATE Bank shareholders, including the Greek state, as well as subordinated debt investors, were wiped out when Piraeus Bank purchased ATE Bank’s viable activities. Subordinated obligations totaled EUR 249 million as of September 2011 (ATE Bank 2011e; EC 2013).

8. Capital Characteristics: The capital injection was undertaken as a rights issue in ordinary shares for existing shareholders.

The capital injection of EUR 1.14 billion was part of a larger ordinary share capital increase of EUR 1.26 billion, through a rights issue. ATE Bank, Greek authorities, and the EC agreed that up to EUR 1.14 billion could be subscribed by the Greek state and at least EUR 115 million would be subscribed by market investors and fully underwritten by a syndicate of banks (EC 2011b). Alpha Bank, EFG Eurobank Ergasias, National Bank of Greece, Piraeus Bank, and Marfin Popular Bank acted as coverage guarantors for the share capital increase. In total, these banks received 42.7 million shares based on what percentage of coverage the banks had undertaken (ATE Bank 2011c). On April 29, 2011, the shareholders of ATE Bank established the terms for the capital increase (ATE Bank 2011b).

Initially, the Greek state put in EUR 974 million by fully exercising its pre-emptive rights, based on its 77% stake (ATE Bank 2011c; EC 2011b; EC 2013). Other investors did not fully take up the 23% of shares that they had a right to purchase. As a result, the government put in an additional EUR 170.8 million, raising its stake to 90% (ATE Bank 2011b; ATE Bank 2011c). In total the government contributed EUR 1.14 billion.

On July 18, 2011, ATE Bank repurchased the EUR 675 million in preferred shares owned by the Greek state (ATE Bank 2011d).

9. Size and Source of Funding: The funds for the capital injection came from the Greek state.

Greek authorities, who were the bank's majority shareholders, agreed on a capital injection of up to EUR 1.14 billion from the Greek state, with the approval of the EC. The Greek state injected EUR 1.14 billion (ATE Bank 2011c; EC 2013). This was part of an ordinary share capital increase of EUR 1.26 billion, where EUR 675 million would be used to repurchase the EUR 675 million of Tier 1 preference shares for a net capital increase of EUR 584.5 million. The net capital increase reflected the capital needs of ATE Bank after the Bank of Greece raised ATE Bank's minimum capital adequacy ratio from 8.9% to 12.1% (EC 2011b).

When the Greek government purchased the initial EUR 675 million of Tier 1 preference shares in ATE Bank in 2009, it paid by issuing government debt to ATE Bank. That debt remained on ATE Bank's balance sheet in 2011 (ATE Bank 2011e). However, the government used cash in the 2011 transactions (ATE Bank 2011f; BoG 2012). According to the Bank of Greece annual reports for 2011 and 2012, the total cost of the capital injection and proceeds from a bond reopening paid for by the Greek state and used to buy shares in the National Bank of Greece and Piraeus Bank was EUR 1.43 billion (BoG 2012; BoG 2013).

10. Timing: The capital injection took place after an initial round of aid, however ATE Bank continued experiencing difficulties and was eventually put through resolution.

In November 2008, the European Commission (EC) approved a package of aid for Greek banks. As part of this package, in 2009 ATE Bank received a capital injection of EUR 675 million in Tier 1 preference shares (EC 2011b).

In October 2010, Greek authorities submitted a restructuring plan for ATE Bank to the EC for approval. On April 28, 2011, Greek authorities updated the EC regarding the capital needs of ATE Bank and proposed a capital increase of EUR 1.26 billion from the Greek state. As part of this, the shareholders of ATE Bank approved a capital injection of EUR 1.14 billion on April 29, 2011 (EC 2011b; EC 2013). The EC approved the injection and restructuring plan on May 23, 2011. The capital increase took place throughout June 2011, with the Greek state contributing the entire EUR 1.14 billion approved by the EC (ATE Bank 2011c). In July 2011, ATE Bank repurchased the EUR 675 million in preferred shares owned by the Greek state (ATE Bank 2011d).

The capital situation of ATE Bank deteriorated further in the second half of 2011 because of the 50% haircut of its Greek bonds. In March 2012, the Bank of Greece submitted a report to the Greek authorities that recommended the resolution of ATE Bank through a purchase and assumption of specific assets and liabilities followed by the resolution of the remaining nonviable assets and liabilities through a bad bank. In July 2012, ATE Bank's viable activities were purchased by Piraeus Bank. ATE Bank's nonviable activities remained with a bad bank

to be liquidated by a special liquidator (EC 2013; ESM n.d.). As of 2021, ATE Bank was still being liquidated (HFSF 2022).

11. Restructuring: Along with the second capital injection, ATE Bank created a restructuring plan.

In addition to the capital injection, the restructuring plan included:

- The sale of most of ATE Bank's non-financial sector subsidiaries and participation in specified banks and companies by December 31, 2012
- Divesting from specified non-financial companies and banking companies by July 1, 2012
- Balance sheet reduction of 25.7%, a loan portfolio reduction of 13%, and an outstanding deposit reduction of 21% by December 2013
- Cost reduction of 25% by 2013
- A revenue-enhancement program, improved focus on risk management, new corporate governance measures, and a new monitoring trustee
- A commitment to maintain a coverage ratio of more than 50%
- A commitment to refrain from purchasing new bonds, participating in proprietary trading activities, paying coupons or dividends, or making new acquisitions, as well as a ban on advertising (EC 2011b).

The EC also required the monitoring trustee to submit semi-annual monitoring reports on the restructuring process and commitments (EC 2011b).

Later, in 2012, the Greek state resolved ATE Bank through purchase and assumption and a bad bank (EC 2013).

12. Treatment of Board and Management: The restructuring plan changed the supervisory and monitoring responsibilities of ATE Bank's board of directors.

When the Greek state initially recapitalized ATE Bank in 2009, it was entitled to having a representative with some veto powers appointed to ATE Bank's board of directors (EC 2008). In the 2011 restructuring plan, the EC required that the supervisory and monitoring functions of ATE Bank's board of directors instead be entrusted exclusively to the Supervisory Board. The monitoring trustee and the Bank of Greece monitored this commitment (EC 2011b).

13. Other Conditions: Law 3723 specified commitments to limit participating institutions from expanding their activities. Other commitments made to the EC

as part of the restructuring and recapitalization plan are detailed in Key Design Decision No. 11, Restructuring.

Law 3723, which authorized the 2009 capital injection and the bond loan and credit guarantee schemes, came with additional commitments to limit participating institutions from expanding their activities. Specifically, during the implementation period, participating institutions' total assets average increase could not exceed the highest out of: the annual growth rate of the previous year's nominal GDP, the average rate of increase of the Greek banking sector's total assets from 1987 to 2007, or the average rate of increase of the EU banking sectors total assets for the previous six months (Hellenic Republic n.d.).

14. Regulatory Relief: Research has not revealed evidence of regulatory relief.

Research has not revealed any evidence of regulatory relief. However, in the first quarter of 2011, the BoG raised ATE Bank's minimum capital adequacy ratio from 8.9% to 12.1% (EC 2011b).

15. Exit Strategy: There were no premeditated plans to reprivatize ATE at the time of the capital injection, and ultimately the government resolved ATE.

In 2010 the capital injection of EUR 1.14 billion was used in part to repurchase the EUR 675 million in Tier 1 preference shares from an earlier capital injection (EC 2011b).

After this, the capital situation of ATE Bank deteriorated further in the second half of 2011 owing to its exposure to Greek bonds. Ultimately, the Greek state resolved ATE Bank in 2012 through the purchase and assumption of some assets and liabilities by Piraeus Bank and the resolution of the remaining assets and liabilities through a bad bank. The government wrote off the investments it made in the bank in 2011 and injected further capital in 2013, ultimately losing more than EUR 6 billion (EC 2013; ESM n.d.).

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